

INTERNAL AUDIT REPORT

Contract Compliance Audit | Report No. AR-02319

Report ID:	AR-02319
Audit Type:	Contract Compliance Audit
Report Date:	February 01, 2026
Audit Period:	2025-07-05 to 2026-01-31
Lead Auditor:	Leslie Pearson (EMP-RM211)
Reviewed By:	George Lowe (EMP-28368)
Primary Vendor Reference:	XpressCore Dynamics Group (VND-01926)
Subject Employee Reference:	Christine Bowman (EMP-51356)
Primary Transaction Reference:	TXN-C877915704
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This contract compliance audit covered the period 2025-07-05 to 2026-01-31 and examined transactions, approvals, and compliance records associated with vendor XpressCore Dynamics Group (VND-01926) and employee Christine Bowman (EMP-51356). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C877915704 (amount 100,272.56 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004897	HIGH	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0010 requires receipts for all claims above \$100.
FND-004883	HIGH	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 22% below the required threshold.

Finding ID	Severity	Category	Description
FND-000545	CRITICAL	MISSING RECEIPT	Reimbursement of \$278,602 for Travel was approved despite no receipt documentation in the system.
FND-004682	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-00531 received payment of \$446,755 via contract CON-107568 that was not updated following blacklisting.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000055	DNS LOG	EVD-LIA-7494	0.56
EVI-000064	APPROVAL RECORD	EVD-EIS-9479	0.93
EVI-000438	HR RECORD	EVD-LNH-7513	0.54
EVI-001753	EXPENSE CLAIM	EVD-ZZQ-8946	0.57
EVI-002863	AUDIT REPORT	EVD-VWA-4220	0.66
EVI-004043	DNS LOG	EVD-NRN-8809	0.83

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Strengthen segregation of duties between transaction initiation and approval functions.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Leslie Pearson	EMP-RM211	2026-02-01
Reviewing Officer	George Lowe	EMP-28368	2026-02-03